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China Financials | Asia Pacific

Deleveraging continued in June with ongoing new household savings shift

Key Takeaways

- June TSF growth slowed further to 7.4% yoy, continuing the trend of moderating headline credit growth as policymakers prioritize quality over quantity.
- Rmb1.76tn in RMB loans were added in June. Outstanding RMB loan growth fell to 5.3% yoy, reflecting ongoing anti-involution efforts and reduced window guidance.
- Household loans recovered modestly with seasonality after a net decline in May. New household loans were still 56% lower yoy; new corporate loans also fell yoy.
- Government bond issuance remained back-end loaded, with 46% of the annual quota utilized in 1H26 vs. 55% in 1H25. Nevertheless, it remains the key TSF driver.
- Household deposit growth moderated to 7.1% yoy; non-FI deposit growth remained high at 28.6%. M1 and M2 growth decelerated, to 4% and 8% yoy, respectively.

Continued rationalization in credit growth: RMB loans showed some recovery at quarter-end in June thanks to seasonality. Household loans rebounded sequentially in June, but still contracted RMB367bn in 1H26, suggesting continued deleveraging. Rmb5.55tn in medium- to long-term corporate loans have been added YTD, down 23% yoy, reflecting continued emphasis on anti-involution and the removal of SME loan growth target.

We believe the slower loan growth could benefit loan and financial asset yields:

Per the PBOC, new corporate loan yield was ~3% while new mortgage rate was ~3.1% in June, suggesting 5bps decline and ~4bps rebound vs. March 2026, respectively.

M1 growth dropped to 4% yoy in June from 5.5% yoy in May, likely owing to: 1) a high base in June 2025; and 2) corporate deposit shift to term – corporate demand deposit growth slowed to 8.8% in June from 10.6% in May; while term deposit growth accelerated to 2.9% from 2.2%.

We continue to believe that TSF growth of ~6% is a more desirable and sustainable medium-term level, and that the narrowing gap between TSF and GDP growth will benefit the financial system.

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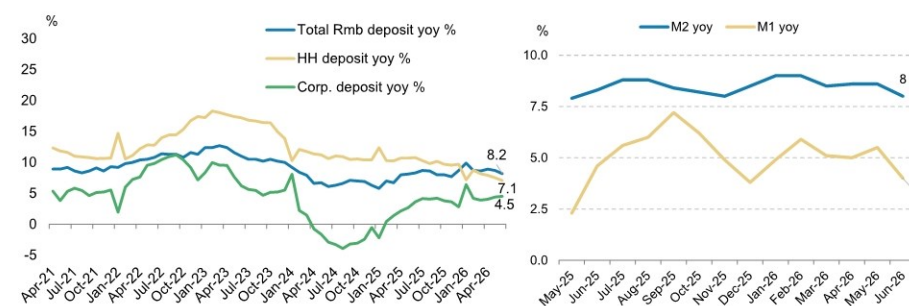
Exhibit 1: June TSF growth was 7.4% yoy, down from 7.7% yoy last month. RMB loan growth moderated to 5.3% yoy.

Total Social Financing	Balance				Flow		
	June-26		May-26		June-26		
	Rmb bn	YoY	Rmb bn	YoY	Rmb bn	YoY	MoM
Total Social Financing	462,060	7.4%	458,810	7.7%	3,364	(862)	1,337
Loans in RMB	279,160	5.3%	277,400	5.5%	1,765	(596)	1,268
Loans in FX	1,180	-3.3%	1,140	-4.2%	46	13	34
Entrusted loans	11,240	0.5%	11,220	0.0%	24	64	33
Trust loans	4,620	3.8%	4,670	7.1%	(50)	(132)	(56)
Undiscounted bankers' acceptance	2,020	-2.9%	2,130	-6.2%	(108)	82	(40)
Corporate bond	36,080	8.9%	35,690	8.4%	404	161	236
Government bond	101,360	14.2%	100,600	15.1%	769	(582)	(455)
Non-fin enterprise equity financing	12,490	5.0%	12,430	4.7%	63	42	33

Total RMB Loan flow	June-26	June-25	Change - %	Change - Rmb bn	YTD 2026	YTD 2025	Change - %	Change - Rmb bn
Loans in RMB	1,765	2,360	-25%	(596)	10,760	12,736	-16%	(1,976)
Total household loans	265	598	-56%	(333)	(367)	1,170	-131%	(1,537)
S/t loans	106	262	-60%	(156)	(588)	(0)	195933%	(588)
L/t loans	158	335	-53%	(177)	221	1,170	-81%	(949)
Total corporate loans	1,500	1,770	-15%	(270)	11,130	11,570	-4%	(440)
S/t corp. loans	820	1,160	-29%	(340)	4,590	4,300	7%	290
Bill financing	114	(411)	-128%	525	814	(46)	-1855%	861
Mid-L/t corp. loans	560	1,010	-45%	(450)	5,550	7,170	-23%	(1,620)

Source: PBOC, CEIC, Morgan Stanley Research

Exhibit 2: Household deposit growth slowed to 7.1% yoy in June. Both M1 and M2 growth moderated, to 4% and 8% yoy, respectively



Source: PBOC, CEIC, Morgan Stanley Research

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INDUSTRY COVERAGE: China Financials

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/15/2026)
Chiyao Huang		
China International Capital Corp. Ltd. (3908.HK)	O (02/28/2025)	HK\$22.22
China Merchants Securities Co Ltd (600999.SS)	U (09/29/2022)	Rmb20.90
China Merchants Securities Co Ltd (6099.HK)	U (10/29/2024)	HK\$16.37
CITIC Securities Co. (6030.HK)	O (07/10/2026)	HK\$27.66
CITIC Securities Co. (600030.SS)	O (08/07/2025)	Rmb28.60
East Money Information Co Ltd (300059.SZ)	E (09/19/2025)	Rmb20.14
Futu Holdings Ltd (FUTU.O)	O (11/18/2024)	US\$98.13
Galaxy Securities (6881.HK)	E (02/27/2020)	HK\$7.56
Galaxy Securities (601881.SS)	U (09/29/2022)	Rmb13.09
GF Securities (000776.SZ)	E (08/07/2025)	Rmb22.78
GF Securities (1776.HK)	E (01/06/2023)	HK\$17.45
HTSC (601688.SS)	E (09/23/2024)	Rmb20.63

HTSC (6886.HK)	E (09/23/2024)	HK\$16.81
Richard Xu, CFA		
Agricultural Bank of China Limited (601288.SS)	E (05/07/2019)	Rmb6.37
Agricultural Bank of China Limited (1288.HK)	O (10/19/2020)	HK\$5.53
Bairong Inc. (6608.HK)	E (09/09/2025)	HK\$5.02
Bank of Beijing Co Ltd (601169.SS)	E (08/17/2022)	Rmb5.08
Bank of Chengdu Co Ltd (601838.SS)	O (08/17/2022)	Rmb18.31
Bank of China Limited (601988.SS)	E (05/07/2019)	Rmb5.88
Bank of China Limited (3988.HK)	O (01/10/2020)	HK\$5.04
Bank of Communications (3328.HK)	U (05/20/2022)	HK\$6.90
Bank of Communications (601328.SS)	U (09/05/2014)	Rmb6.83
Bank of Hangzhou Co Ltd (600926.SS)	E (08/17/2022)	Rmb15.79
Bank of Ningbo Co. Ltd (002142.SZ)	O (08/17/2022)	Rmb32.48
China CITIC Bank Corporation Limited (601998.SS)	E (04/16/2025)	Rmb7.44
China CITIC Bank Corporation Limited (0998.HK)	O (04/16/2025)	HK\$7.01
China Construction Bank Corp. (0939.HK)	O (10/11/2012)	HK\$8.17
China Construction Bank Corp. (601939.SS)	E (05/07/2019)	Rmb10.00
China Everbright Bank Co Ltd (6818.HK)	U (05/12/2023)	HK\$3.05
China Everbright Bank Co Ltd (601818.SS)	U (05/20/2022)	Rmb3.15
China Merchants Bank (600036.SS)	O (01/07/2019)	Rmb37.76
China Merchants Bank (3968.HK)	O (09/20/2018)	HK\$46.20
China Minsheng Banking Corp. (600016.SS)	O (08/28/2025)	Rmb3.47
China Minsheng Banking Corp. (1988.HK)	O (05/12/2023)	HK\$3.50
Chongqing Rural Commercial Bank (3618.HK)	U (05/12/2023)	HK\$6.36
Hua Xia Bank (600015.SS)	U (06/30/2015)	Rmb6.98
Industrial and Commercial Bank of China (1398.HK)	O (08/09/2013)	HK\$6.79
Industrial and Commercial Bank of China (601398.SS)	E (09/19/2022)	Rmb7.51
Industrial Bank Co. Ltd. (601166.SS)	O (02/25/2019)	Rmb17.81
Lufax (LU.N)		US\$1.29
Ping An Bank (000001.SZ)	O (05/07/2019)	Rmb10.84
Postal Savings Bank of China Co Ltd (1658.HK)	O (11/01/2016)	HK\$4.78
Qifu Technology Inc (QFIN.O)	O (08/25/2020)	US\$12.27
Shanghai Pudong Development Bank (600000.SS)	E (08/05/2025)	Rmb9.31

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.